

MY SOLON

I have another reason to be obsessed with Solon's warning. I hark back to the very same strip of land in the Eastern Mediterranean where the story took place. My ancestors experienced bouts of extreme opulence and embarrassing penury over the course of a single generation, with abrupt regressions that people around me who have the memory of steady and linear betterment, do not think feasible (at least not at the time of writing). Those around me either have (so far) had few family setbacks (except for the great depression) or, more generally, are not suffused with enough sense of history to reflect backward. For people of my background, Eastern Mediterranean Greek-Orthodox and invaded Eastern Roman citizens, it was as if our soul had been wired with the remembrance of that sad April day *circa* 500 years ago when Constantinople, under the invading Turks, fell out of history, leaving us the lost subjects of a dead empire, very prosperous minorities in an Islamic world – but with an extremely fragile wealth. Moreover, I vividly remember the image of my own dignified grandfather, a former deputy prime minister and son of a deputy prime minister (whom I never saw without a suit), residing in a nondescript apartment in Athens, his estate having been blown up during the Lebanese civil war. Incidentally, having experienced the ravages of war, I find undignified impoverishment far harsher than physical danger (somehow dying in full dignity appears to me far preferable to living a janitorial life, which is one of the reasons I dislike financial risks far more than physical ones). I am certain that Croesus worried more about the loss of his Kingdom than the perils to his life.

There is an important and non-trivial aspect of historical thinking, perhaps more applicable to the markets than anything else: unlike many “hard” sciences, history cannot lend itself to experimentation. But somehow, overall, history is potent enough to deliver, on time, in the medium to long run, most of the possible scenarios, burying the bad guy. Bad trades catch up with you, it is frequently said in the markets. Mathematicians of probability give that a fancy name: *ergodicity*. It means, roughly, that (under certain conditions), very long sample paths would end up resembling each other. The properties of a very, very long sample path would be similar to the Monte Carlo properties of an

average of shorter ones. The janitor in Chapter 1 who won the lottery, if he lived 1000 years, cannot be expected to win more lotteries. Those who were unlucky in life in spite of their skills would eventually rise. The lucky fool might have benefited from some luck in life; over the longer run he would slowly converge to the state of a less-lucky idiot. Each one would revert to his long-term properties.

Distilled Thinking on Your PalmPilot

BREAKING NEWS

The journalist, my *bête noire*, entered this book with George Will dealing with random outcomes. In the next step I will show how my Monte Carlo toy taught me to favor distilled thinking, by which I mean the thinking based on information around us that is stripped of meaningless but diverting clutter. For the difference between noise and information, the topic of this book (noise has more randomness) has an analog: that between journalism and history. To be competent, a journalist should view matters like a historian, and play down the value of the information he is providing, such as by saying: “today the market went up, but this information is not too relevant as it emanates mostly from noise”. He would certainly lose his job by trivializing the value of the information in his hands. Not only is it difficult for the journalist to think more like a historian, but it is alas the historian who is becoming more like the journalist.

For an idea, age is beauty (it is premature to discuss the mathematics of the point). The applicability of Solon's warning to a life in randomness, in contrast with the exact opposite message delivered by the prevailing media-soaked culture, reinforces my instinct to value distilled thought over newer thinking, regardless of its apparent sophistication – another reason to accumulate the hoary volumes by my bedside (I confess that the only news items I currently read are the far more interesting upscale social gossip stories found in *Tatler*, *Paris Match* and *Vanity Fair* – in addition to *The Economist*). Aside from the decorum of ancient